

Chapter 5: Set off and CF of losses

Illustration 01 [PYQ May 2014]

Mr. Garg, a resident individual, furnishes the following particulars of his income and other details for the previous year 2025-26.

	₹
1. Income from Salary	15,000
2. Income from Business (before providing depreciation)	66,000
3. Long term capital gain on sale of Land	10,800
4. Loss on maintenance of Race Horses	15,000
5. Loss from Gambling	9,100

The other details of unabsorbed depreciation and brought forward losses pertaining to Assessment Year 2026-27 are as follows:

	₹
1. Unabsorbed depreciation	11,000
2. Loss from Speculative business	22,000
3. Short term capital loss	9,800

Compute the Gross total income of Mr. Garg for the Assessment Year 2026- 27 and the amount of loss, if any, that can be carried forward, or not.

Solution

Computation of Gross total Income of Mr Garg for the AY 2026-27

Particulars	₹	₹
Income from Salary (Assume computed)		15,000
Income from business	66,000	
Less: Unabsorbed depreciation	11,000	55,000
Long term capital gain on sale of land	10,800	
Less: b/f Short term capital loss	9,800	1,000
Gross Total Income		71,000

Notes:

1. Loss from speculative business of ₹ 22,000 relating to AY 2026-27 shall be c/f.
2. Loss from maintenance of race horses of ₹ 15,000 relating to AY 2026-27 shall be c/f.
3. Loss from gambling of ₹ 9,100 can neither be set off nor carried forward.

Illustration 02 [PYQ May 2016]

Mr. Aditya furnishes the following details for the year ended 31 -03-2026:

Particulars	Amount (₹)
Loss from speculative business A	25,000

Income from speculative business B	5,000
Loss from specified business covered under Section 35AD	20,000
Income from Salary	2,50,000
Loss from House Property	1,50,000
Income from trading business	45,000
Long-term Capital Gain from sale of urban land	2,00,000
Long-term Capital Loss on sale of shares (STT not paid)	75,000
Long-term Capital Loss on sale of listed shares in recognized stock exchange (STT Paid)	82,000

Following are the brought forward losses:

1. Losses from owning and maintaining of race horses pertaining to A.Y. 2025-26 ₹ 2,000.
 2. Brought forward loss from trading business ₹ 5,000 relating to A.Y. 2022-23
- Compute the total income of Mr. Aditya and show the items eligible for carry forward.

Solution

Assessee: Mr. Aditya Assessment year: 2026-27

Previous year: 2025-26

Computation of Total Income

Particulars	₹	₹	₹
Income from Salaries(Assume computed)			2,50,000
Income from House Property			(1,50,000)
Profit and Gains of Business or Profession Income from Speculative Business	5,000		
Less: Loss from Speculative Business	(5,000)	Nil	
Income from Trading Business	45,000		
Less: Brought forward loss from A.Y. 2022-23	(5,000)	40,000	40,000
Capital Gains:		2,00,000	
Long term Capital Gains on Sale of Land			
Long term Capital Loss on Sale of Shares (STT not paid)		(75,000)	1,25,000
Total Income			2,65,000

Note: Long Term Capital Loss on which STT is paid is not available for set off upto ₹ 1 Lacs from AY 2026-27.

Items Eligible for Carry Forward

Particulars	₹
1. Loss from owning Race Horses can be set off against Income from owning Race Horses till A.Y. 2029-30	2,000
2. Loss from Speculative Business shall be carried forward for 4 A.Y. and set off only against Income from Speculative Business. (25,000 - set off in the current year 5,000)	20,000
3. Loss from specified Business u/s 35AD can be carried forward for any number of years and set off only against Income from any specified Business	20,000
Total	42,000



Illustration 03 [PYQ May 2017]

Mr. Shyam, a resident of Chandigarh, provides the following information for the financial year 2025-26:

Particulars	₹
Income from Textile business	4,60,000
Income from speculation business	25,000
Loss from gambling	12,000
Loss on maintenance of race horse	15,000
Eligible current year depreciation of textile business not adjusted in the income given above	5,000
Unabsorbed depreciation of Assessment year 2025-26 brought forward	10,000
Speculation business loss of Assessment year 2025-26	30,000

Compute the Gross Total Income of Mr. Shyam for the Assessment year 2026-27 and any other item of expense or loss eligible for carry forward.

Solution**Computation of Gross Total Income**

Income under head PGBP		
Income from Textile Business	4,60,000	
(-) Current Year Depreciation	5,000	
(-) Unabsorbed Depreciation	10,000	4,45,000
Income from Speculation Business	25,000	
(-) Set off of loss	25,000	Nil
		4,45,000

Note:

1. Loss from Gambling cannot be set off.
2. Loss on maintenance of race horse shall be carried forward.
3. Brought forward speculation loss shall be adjusted from current year profit and balance carried forward.

Illustration 04 [PYQ Nov 2016]

Answer of the following.

Mr. Rakesh Gupta has derived the following income/loss, as computed below, for the previous year 2025-26:

Loss from let out house property	2,50,000
Loss from non-speculation business	3,20,000
Income from speculation business	12,45,000
Loss from specified business covered u/s 35 AD	4,10,000
Winnings from lotteries (Gross)	1,50,000
Winnings from beatings	90,000
Loss from card games	3,40,000

You are required to compute the total income of the assessee for the assessment year 2026-27, showing clearly the manner of set-off and the items eligible for carry forward. The return of income has been filed on 30-7-2026.

Solution

Computation of total income of Mr. Rakesh Gupta for the A.Y. 2026-27

Particulars	₹	₹
Profits and gains of business or profession		
Income from speculation business	12,45,000	
Less: Set-off of loss from non-speculation business	3,20,000	
	9,25,000	
Less: Set-off of loss from house property, restricted to	2,00,000	7,25,000
Income from other sources		
Winnings from lotteries	1,50,000	
Winnings from bettings [See Note below]	90,000	2,40,000
Gross Total Income		9,65,000
Less: Deduction under Chapter VI-A		Nil
Total income		9,65,000

Losses to be carried forward to A.Y.2027-28

Particulars	₹
Loss from house property (₹ 2,50,000 - ₹ 2,00,000) As per section 71 (3A), loss from house property can be set-off against any other head of income to the extent of ₹ 2,00,000 only. As per section 71 (BA), balance loss not set-off can be carried forward to the next year for set-off against income from house property of that year	50,000
Loss from specified business covered by section 35AD Loss from specified business under section 35AD can be set-off only against profits of any other specified business. As per section 73A(2), if loss cannot be so set-off, the same has to be carried forward to the subsequent year for set off against income from specified business, if any, in that year. Since the return has been filed before the due date, such loss can be carried forward.	4,10,000
Loss from card games Loss from card games can neither be set off against any other income, nor can it be carried forward.	

Note: It has been assumed that the amount of ₹ 90,000 given in the question represents gross winnings from betting. Accordingly, the total income has been computed. However, in case ₹ 90,000 considered as net amount and grossed up the same, the gross winnings from betting would be ₹ 1,28,571 [₹ 90,000 x 100/70]. The total income would be ₹ 10,03,570 (rounded off).

Illustration 05 [PYQ Nov 2019]

Following are the details of incomes / losses of Mr. Rishi for the F.Y. 2025-26:

	₹
Taxable salary income (computed)	3,60,000
Taxable income from house property (computed)	
- from rented house property X	1,20,000
- from rented house property Y	(3,40,000)
Taxable profit from business (computed)	



- business P	2,30,000
- business Q	(12,000)
- business R (speculative business)	15,000
- business T (speculative business)	(25,000)
Taxable Income from other sources:	
- from card games	16,000
- from owning & maintenance of race horses	(7000)
- interest on securities	5,000

You are required to determine the Gross total income of Mr. Rishi for Assessment Year 2026-27.

Solution

Computation of Gross total Income of Mr. Rishi for AY 2026-27

Particulars	Amount	Amount
Income from Salary (Computed)	3,60,000	
Less: Loss from house property of ₹ 2,20,000 to be restricted to ₹ 2 lakhs by virtue of Section 71 (3A)	2,00,000	1,60,000
Balance loss of ₹ 20,000 from house property to be carried forward to next assessment year		
Income from HP Computed		
Property X	1,20,000	
Property Y	(3,40,000)	
Loss from House Property	2,20,000	
Less: Set off from salary upto 2,00,000 And balance c/f to next AY	2,20,000	NIL
Income from Business (computed)		
Business P	2,30,000	
Business Q	(12,000)	
Income from business other than Speculation business		2,18,000
Speculation Business:		
Business R	15,000	
Business T	(25,000)	
Loss from speculation business	(10,000)	
Carry forward to next year since it can be set Off only from speculation income		
Income from other sources:		
Card Games	16,000	
Owning and maintaining horse race (7000) Owning and maintaining horse race loss set off only from income of Owning and maintaining horse race and hence carry forward		
Interest on securities	5,000	21,000
Gross Total Income		3,99,000

Illustration 06 [PYQ Nov 2020]

CA Jasmeet Singh



Ms. Pooja a resident individual provides the following information of her income/losses for the year ended on 31st March, 2026:

S. No.	Particulars	(₹)
1	Income from salary (Computed)	2,20,000
2	Income from House Property (let out) (Net Annual Value)	1,50,000
3	Share of loss from firm in which she is partner	10,000
4	Loss from specified business covered under section 35 AD	20,000
5	Income from textile business before adjusting the following items:	3,00,000
	(i) Current year depreciation	60,000
	(ii) Unabsorbed depreciation of earlier year	2,25,000
	(iii) Brought forward loss of textile business of the A.Y. 2023-24	90,000
6	Long-term capital gain on sale of debentures	75,000
7	Long-term capital loss on sale of equity shares (STT not paid)	1,00,000
8	Long-term capital gain on sale of equity shares listed in recognized stock exchange (STT paid at the time of acquisition and sale)	1,50,000
9	Dividend from units of UTI	5,000

During the previous year 2025-26, Ms. Pooja has repaid ₹ 5,25,000 towards housing loan from a scheduled bank. Out of this ₹ 3,16,000 was towards payment of interest and rest towards principal.

Compute the gross total income of Ms. Pooja and ascertain the amount of loss that can be carried forward. Ms. Pooja has always filed her return within the due date specified under section 139(1) of the Income-tax Act, 1961.

Solution

Computation of income of Ms. Pooja for A.Y. 2026-27

Salary	2,20,000
Income from HP [1,50,000 (-) SD 45,000 (-) Interest 3,16,000]	(2,11,000)
Income from textile Business [3,00,000 (-) 60,000]	2,40,000
LTCG [75,000 (-) 1,00,000 +1,50,000]	1,25,000
Income from other Sources	5,000

	Salary	HP	Business Income	LTCG	Other Sources
Income	2,20,000	(2,11,000)	2,40,000	1,25,000	5,000
Less: House Property Loss	(2,00,000)	2,00,000	-	-	-
Balance	20,000	(11,000)	2,40,000	1,25,000	5,000
Less: B/F Business Loss	-	-	(90,000)	-	-
Balance	20,000	(11,000)	1,50,000	1,25,000	5,000
Less: B/F unadjusted depreciation (2,25,000)	-	-	(1,50,000)	(70,000)	(5,000)
Balance (total 75,000)	20,000	(11,000)	Nil	55,000	Nil

The following points should be noted:



- Share of loss from partnership firm cannot be set off and carried forward by partners. However, it can be carried forward by the partnership firm.
- Loss from specified business of ₹ 20,000 u/s 35AD cannot be adjusted against any other income. It can be carried forward by Ms. Pooja. In subsequent years, it can be adjusted only against income from specified business under specified 35AD. There is no time limit for this purpose.
- Loss of the current year under the head “Income from house property” can be set off against any other income of the current year only to the extent of ₹ 2,00,000. In the given problem loss in excess of ₹ 2,00,000 i.e. ₹ 11,000 cannot be adjusted against any other income of the current year. However, it can be carried forward to the next year.

Illustration 07 [PYQ July 2021]

Mr. X a resident individual submits the following information, relevant to the previous year ending March 31, 2026:

	Particulars	Amount (₹)
(i)	Income from Salary (Computed)	2,22,000
(ii)	Income from House Property	
	- House in Delhi	22,000
	- House in Chennai	(-) 2,60,000
	- House in Mumbai (self occupied)	(-) 20,000
(iii)	Profit and gains from business or profession	
	- Textile business	18,000
	- Cosmetics business	(-) 22,000
	- Speculative business-1	(-) 74,000
	- Speculative business-2	46,000
(iv)	Capital gains	
	Short term capital loss from sale of property	(-) 16,000
	Long term capital gains from sale of property	15,400
(v)	Income from other sources (Computed)	
	- Income from betting	34,000
	- Income from Card games	46,000
	- Loss on maintenance of race horses	(-) 14,600

Determine the gross total income of Mr. X for the assessment year 2026-27 and the losses to be carried forward assuming that he does not opt to be taxed under section 115BAC.

Solution

Computation of Gross Total Income of Mr. X for A.Y. 2026-27

Particulars	Amount	Amount
Salaries		
Income from salary (computed)	2,22,000	
Less: Set-off of loss from house property of ₹ 2,58,000 to the extent of ₹ 2 lakhs by virtue of section 71 (3A)	2,00,000	22,000
Income from house property		



— House in Delhi	22,000	
— House in Chennai	(2,60,000)	
— House in Mumbai (self-occupied)	(20,000)	
	(2,58,000)	
Loss upto ₹ 2 lakhs can be set off against income from salary.		
Balance loss of ₹ 58,000 from house property has to be carried forward to A.Y.2027-28.		
Profits and gains from business or profession		
Profits from Speculative business - 2	46,000	
Less: Loss of ₹ 74,000 from speculation -1 set off to the extent of profits of ₹ 46,000 as per section 73(1) from another speculation business. Loss from speculation business cannot be set-off against any income other than profit and gains of another speculation business.	(46,000)	
Hence, the balance loss of ₹ 28,000 from speculative business has to be carried forward to A.Y. 2027-28.		
Profits from textile business	18,000	
Less: Loss from cosmetic business of ₹ 22,000 set off against profits from textile business to the extent of ₹ 18,000 as per section 70(1).	(18,000)	
Balance loss of ₹ 4,000 from cosmetic business has to be carried forward to A.Y.2026-27, since the same cannot be set-off against salary income.		
Capital Gains		
Long term capital gain from sale of property	15,400	
Less: Short-term capital loss can be set-off against both short-term capital gains and long-term capital gains. Short term capital loss of ₹ 16,000 set off against long term capital gains to the extent of ₹ 15,400 as per section 74(1).	(15,400)	
Balance short term capital loss of ₹ 600 has to be carry forward to A.Y.2027-28		
Income from Other Sources		
Income from betting [No loss is allowed to be set off against such income]	34,000	
Income from card games [No loss is allowed to be set off against such income]	46,000	
Loss on activity of owning and maintenance of race horses [Loss incurred on activity of owning and maintenance of race horses cannot be set-off against income from any source other than the activity of owning and maintaining race horses. Hence, such loss of 14,600 has to be carried forward to A.Y.2027-28]	NIL	80,000
Gross Total Income		1,02,000

Illustration 08 [PYQ May 2022]

CA Jasmeet Singh



Mr. Harsh furnishes the following details for the year ended on 31.03.2026:

Particulars	Amount ₹
Salary received from partnership firm (the same was allowed to the firm)	8,50,000
Loss on sale of shares listed in stock exchange held for 18 months and the STT paid on the sale and acquisition	6,00,000
Long term capital gain on sale of land	5,00,000
Brought forward business loss of assessment year 2018-19	6,00,000
Loss of the specified business covered in Section 35AD	3,50,000
Loss from house property	2,50,000
Income from betting (gross)	50,000
Loss from card games	35,000

Compute the total income and show the item eligible for carry forward of Mr. Harsh for the assessment year 2026-27.

Solution

Computation of total income of Mr. Harsh for the A.Y. 2026-27

Particulars	₹	₹
Profits and gains from business and profession		
Salary received from partnership firm (would be fully taxable in the hands of Mr. Harsh as business income, since the same was allowed to the firm as deduction)	8,50,000	
Less: Loss from house property ₹ 2,50,000 (can be set-off against income from any other head only to the extent of ₹ 2 lakh)	2,00,000	
	6,50,000	
Less: Set-off of brought forward business loss of A.Y. 2018-19 (since the eight year time period for set-off has not expired)	6,00,000	50,000
Capital Gains		
Long-term capital gain on sale of land	5,00,000	
Less: Set-off of long-term capital losses (since held for 18 months i.e., more than 12 months) on sale of STT paid listed shares [Such set-off is permissible since it is a loss from a source of income taxable u/s 112A]	5,00,000	
Income from Other Sources		
Income from betting (gross)		50,000
[No Loss can be set off against income from betting]		
Loss of ₹ 35,000 from card games can neither be set-off nor be carried forward		-
Total Income		1,00,000
Losses to be carried forward to A.Y. 2026-27		₹
Loss from house property (₹ 2,50,000 2,00,000)		50,000
Loss from specified business covered u/s 35AD [Entire loss is to be carried forward, since there is no income from any specified business for A.Y.2026-27. Such loss has		3,50,000



to be carried forward for set-off against income from any specified business in A.Y.2027-28]		
Long-term capital loss on sale of listed shares (STT paid) [₹ 6,00,000 - 7 5,00,000]		1,00,000

Illustration 09 [PYQ Nov 2022]

Compute the gross total income of Mr. Prakhar for A.Y. 2026-27 and the losses to be carried forward, from the information given below: it

(i)	Income from House Property (computed)	₹ 3,60,000
(ii)	Short term capital loss on shares of a company	₹ (-) 18,700
(iii)	Long term capital gain on sale of agricultural land	₹ 6,000
(iv)	Income from rubber business (plants grown by Mr. Prakhar)	₹ 80,000
(v)	Loss from garment business b/f - discontinued in F.Y. 2023-24	₹ (-) 70,000
(vi)	Loss from betting	₹ (-) 5,500
(vii)	Income from lotteries (net)	₹ 5,460

Solution**Computation of gross total income of Mr. Prakhar for the A.Y. 2026-27**

Particulars	₹	₹
Income from house property (computed)		3,60,000
Profits and gains from business and profession		
Income from rubber business [35% of income from manufacture of rubber is business income [80,000 x 35%] and the balance 65% would be agricultural income	28,000	
Less: Brought forward loss of ₹ 70,000 from garment business set-off to the extent of ₹ 28,000, set-off is permissible even if the business is discontinued	28,000	Nil
Capital Gains		
Long-term capital gain on sale of agricultural land (Exempt, assuming that the same is rural agricultural land)		—
Income from Other Sources		
Income from lotteries (₹ 5,460 x 100/70)		7,800
Note: Tax @30% has to be deducted on winnings from lotteries u/s 194B only if the amount of payment exceeds ₹ 10,000. However, in the question, winnings from lotteries is only ₹ 5,460 and the word “net” is given in the bracket. Since, the word “net” is written in the bracket in question, main solution is given based on the view that tax has been deducted on income from lotteries @30% and accordingly, the lottery income is grossed up. However, since no tax is deductible u/s 194B where lottery income does not exceed ₹ 10,000, the question can be answered without grossing up the lottery income of ₹ 5,460. In such a case, gross total income would be ₹ 3,65,460.		
Gross Total Income		3,67,800
Losses to be carried forward to A.Y.2027-28		



Loss from garment business pertaining to P.Y. 2023-24 (₹ 70,000 - ₹ 28,000)		42,000
Short term capital loss on shares of a company of A.Y. 2026-27		18,700
Loss of ₹ 5,500 from betting can neither be set-off nor be - carried forward.		—

Note: In the question, long term capital gain on sale of agricultural land is given as ₹ 6,000. However, it is not mentioned as to whether the same is rural agricultural land or urban agricultural land. The main solution given above is based on the assumption that it is rural agricultural land. An alternate solution has been given below based on the assumption that it is urban agricultural land.

Alternate Answer:

Computation of gross total income of Mr. Prakhar for the A.Y. 2026-27

Particulars	₹	₹
Income from house property (computed)		3,60,000
Profits and gains from business and profession		
Income from rubber business [35% of income from manufacture of rubber is business income [80,000 x 35%] and the balance 65% would be agricultural income	28,000	
Less: Brought forward loss of ₹ 70,000 from garment business set-off to the extent of ₹ 28,000, set-off is permissible even if the business is discontinued	28,000	Nil
Capital Gains		
Long-term capital gain on sale of agricultural land, assuming that the same is urban agricultural land)	6,000	—
Less: Set-off of Short-term capital loss of ₹ 18,700 against long-term capital gains to the extent of ₹ 6,000 by virtue of section 74(1)	6,000	Nil
Income from Other Sources		
Income from lotteries (₹ 5,460 x 100/70)		7,800
Note: Tax @30% has to be deducted on winnings from lotteries u/s 194B only if the amount of payment exceeds ₹ 10,000. However, in the question, winnings from lotteries is only ₹ 5,460 and the word “net” is given in the bracket. Since, the word “net” is written in the bracket in question, main solution is given based on the view that tax has been deducted on income from lotteries @30% and accordingly, the lottery income is grossed up. However, since no tax is deductible u/s 194B where lottery income does not exceed ₹ 10,000, the question can be answered without grossing up the lottery income of ₹ 5,460. In such a case, gross total income would be ₹ 3,65,460.		
Gross Total Income		3,67,800
Losses to be carried forward to A.Y.2026-27		₹
Loss from garment business pertaining to P.Y. 2023-24 (₹ 70,000 - ₹ 28,000)		42,000



Short term capital loss on shares of a company of A.Y. 2026-27 (₹ 18,700 - ₹ 6,000)		12,700
Loss of ₹ 5,500 from betting can neither be set-off nor be - carried forward.		—

Illustration 10 [RTP Jan 2025]

Mr. Mayank, a resident individual, furnished the following information in respect of income earned and losses incurred by him for the F.Y. 2025-26

Particulars	Amount (₹)
Income from Salary (Computed)	27,40,000
Long term capital loss on sale of shares of Reliance Ltd. STT has been paid both at the time of acquisition and sale	(1,25,000)
Income from let out property in Kanpur	5,50,000
Loss from let out property in Delhi	(3,75,000)
Interest on self-acquired property in Mumbai	(1,50,000)
Net winnings from online games (Net of TDS)	35,000
Profit and gains from manufacturing business (after deducting normal depreciation of ₹ 2,00,000 and additional depreciation of ₹ 50,000)	36,86,000

The other details of losses and unabsorbed depreciation pertaining to A.Y. 2025-26 are as follows:

Particulars	Amount
Business loss from manufacturing business	(5,35,000)
Unabsorbed normal depreciation	(2,10,000)
Loss from the activity of owning and maintaining the race horses	(1,50,000)
Loss from let out property in Delhi	(2,10,000)

Mr. Mayank filed his return of income for A.Y. 2025-26 on 28.7.2025 and opted for section 115BAC. Compute the Gross total income of Mr. Mayank for the A.Y. 2026-27 and the amount of loss, if any, that can be carried forward if he wants to continue with the provisions under section 115BAC.

Solution**Computation of gross total income of Mr. Mayank for A.Y. 2026-27**

Particulars	Amount (₹)	Amount (₹)
Income from Salary (Computed)		27,40,000
Income from house property		
Income from let out property in Kanpur	5,50,000	
Less: Set off of loss from let out property in Delhi	(3,75,000)	
Less: Interest u/s 24(b) is not allowed in case of self-occupied property since Mr. Mayank is paying tax under section 115BAC]	-	

Less: Loss from let out property in Delhi of A.Y. 2025-26 cannot be set off against income from house property of A.Y. 2026-27 since Mr. Mayank has	-	
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paid tax under section 115BAC during the A.Y. 2025-26 and no deduction in respect of loss of house property of that year will be allowed in any subsequent year.		
PGBP		1,75,000
Profits from manufacturing business	36,86,000	
Add: Additional depreciation not allowable in case of section 115BAC	50,000	
	37,36,000	
Less: Brought forward business loss of A.Y. 2025-26	(5,35,000)	
Less: Unabsorbed normal depreciation	(2,10,000)	29,91,000
Capital Gains		
Long term capital loss on sale of shares of Reliance Ltd. on which STT has been paid can be set off only against long term capital gains. Hence, it has to be carried forward	(1,25,000)	-
Income from Other Sources		
Net winnings from online games [₹ 35,000/70%]		50,000
Gross Total Income		59,56,000

Losses to be carried forward to A.Y. 2027-28

Particulars	Amount
Brought forward loss from the activity of owning and maintaining the race horses of A.Y. 2025-26 can be set off only against the income from the activity of owning and	1,50,000
maintaining race horses. Hence, it has to be carried forward.	
LTCL on sale of shares of Reliance Ltd. on which STT has been paid	1,25,000

Illustration 11 [RTP Sep 2024]

Karan, a resident aged 50 years, furnishes the following information for the year ended on 31-03-2026:

Particulars	Amount (₹)
Salary (Gross)	2,75,000
Income from let out house property	(2,85,000)
Interest on loan paid for self-occupied house property	1,20,000
Income from sale of rubber products from rubber plants	2,00,000
Business income - Retail business	1,20,000
Business income - wholesale business	(1,00,000)
Brought forward business loss (A.Y. 2025-26)	(1,35,000)
Dividend received from ABC Ltd., an Indian company carrying on agricultural operations	13,500
Long term capital gain from sale of listed equity shares (STT paid on sale and purchase of shares)	2,00,000
Short-term capital gains on sale of shares	(1,10,000)
Lottery winnings (gross)	45,000



Contribution to provident fund and NSC	1,50,000
Income of minor son Raju from special talent	1,50,000
Interest from Bank received by Raju on deposit made out of his special talent	10,000

Compute Karan's total income under the default tax regime under section 115BAC for the A.Y. 2026-27 assuming his wife does not earn any income.

Solution

Computation of total income of Mr. Karan for A.Y.2026-27

Particulars	₹	₹
Salary		
Gross salary	2,75,000	
Less: Standard deduction under section 16(ia)	50,000	2,25,000

Income from house property		
Interest on loan paid for self occupied property [Not allowable under section 115BAC]	-	
Loss from let out house property	2,85,000	
[Loss from house property is not allowed to be set off against income under any other head while computing income under section 115BAC.]	2,85,000	
PGBP		
Income from sale of rubber products from rubber plants [₹ 70,000 (35% of ₹ 2,00,000) is business income and ₹ 1,30,000 (65% of ₹ 2,00,000) is agricultural income which is exempt from tax]	70,000	
Business Income- Retail business	1,20,000	
	1,90,000	
Less: Set-off of wholesale business loss of ₹ 1,00,000	1,00,000	
	90,000	
Less: Set-off of brought forward business loss of ₹ 1,35,000 of A.Y.2025-26 allowable to the extent of ₹ 90,000 by virtue of section 72(1)	90,000	Nil
[Balance brought forward business loss of ₹45,000 (i.e., ₹ 1,35,000 – ₹ 90,000) to be carry forward to A.Y. 2027-28 for set-off against business income of that year]		
Capital Gains		
Long-term capital gain on sale of listed equity shares on which STT is paid	2,00,000	
Less: Set-off of short term capital loss of ₹ 1,10,000	1,10,000	90,000

Income from Other Sources		
Dividend from Indian companies [13,500/90 x 100]	15,000	
Lottery winnings	45,000	



Income of minor son from special talent [Not included in Karan's income since it is earned from special talent]	-	
Interest from bank received by minor son on deposit made out of his income from special talent [Includible in the income of Mr. Karan, since Mrs. Karan does not earn any income]	10,000	
Less: Exemption under section 10(32) [Not allowable under section 115BAC]	-	70,000
Gross Total Income		3,85,000
Less: Deduction under section 80C [Not allowable under section 115BAC]		360,000
Total Income		3,85,000

Illustration 12 [PYQ May 2024]

Mr. Joshi, resident Indian, aged about 58 years, furnished the following details of his income for the previous year 2025-26:

- (i) Income from House property (computed) ₹ 2,00,000.
- (ii) Income from Proprietary Business ₹ 3,00,000.
- (iii) Short Term Capital Gain on sale of Land ₹ 2,00,000.
- (iv) Short Term Capital loss on sale of equity shares listed in recognized stock exchange (STT paid) ₹ 75,000.
- (v) Interest on Bank fixed deposit ₹ 50,000 received by his son, aged 21 years, out of money gifted by Mr. Joshi in 2024.
- (vi) Loss from Speculation Business ₹ 40,000.
- (vii) Loss from Owning and Maintenance of Race Horses ₹ 50,000. Following are the brought forward losses:
 - a) Brought forward House property loss of assessment year 2023-24 ₹ 2,50,000.
 - b) Brought forward business loss of Proprietary business from assessment year 2015-16 ₹ 50,000.
 - c) Unabsorbed Depreciation relating to assessment year 2016-17 ₹ 1,00,000.
 - d) Brought forward Long Term Capital Loss from assessment year 2020-21 ₹ 90,000. Return of income for that year was filed on 31.01.2021, after due date of filing the return.

Compute the total income of Mr. Joshi for the assessment year 2026-27 and show the items eligible for carry forward, assuming that he exercises the option of shifting out of the default tax regime provided under Section 115BAC(1A)

Solution

Computation of total income of Mr. Joshi for the A.Y. 2026-27

Particulars	₹	
Income from house property	2,00,000	
Less: Set-off of brought forward loss from house property of A.Y. 2023-24 is allowed, since 8 years period not yet lapsed	2,00,000	Nil
PGBP		
Income from proprietary business	3,00,000	



Less: Set off of brought forward business loss of A.Y. 2015-16 not allowable as 8 years' time has already lapsed in the A.Y. 2023-24	Nil	
Less: Set off of unabsorbed depreciation of A.Y. 2016-17	1,00,000	2,00,000

[Note – Alternatively, unabsorbed depreciation can be set-off against short-term capital gains]		
Capital Gains		
Short-term capital gain on sale of land	2,00,000	
Less: Set-off of short-term capital loss on sale of listed equity shares	75,000	1,25,000
Brought forward long-term capital loss is not allowed to be carried forward and set-off, since return of income for the A.Y. 2020-21 was filed after the due date of filing return of income.		
Income from Other Sources		
Interest on fixed deposit not includible in the hands of Mr. Joshi since his son is major		Nil
Gross Total Income		3,25,000
Less: Deduction under Chapter VI-A		Nil
Total Income		3,25,000

Items eligible for carried forward	
(i)	Loss from speculation business of ₹ 40,000 can be set-off against income from speculation business only. Hence, such loss would be carried forward to subsequent assessment year.
(ii)	Loss from owning and maintenance of race horses ₹ 50,000, can be set-off against income from income from owning and maintenance of race horses only. Thus, such loss would be carried forward to subsequent assessment year.
(iii)	Brought forward loss from house property can be set off only against income of house property. Hence, remaining loss of ₹ 50,000 has to be carried forward to subsequent assessment year.

Illustration 13 [RTP May 2023]

Mr. Ram, a resident Individual aged 65 years, submits the following details of his income for the assessment year 2026-27:

Particulars	₹
Loss from speculative business A	30,000
Income from speculative business B	1,50,000
Loss from specified business covered under section 35AD	20,000
Income from Salary (computed)	2,00,000
Loss from let out house property	1,90,000
Loss from cloth business	80,000
Long-term capital gain from sale of urban land	3,00,000
Long-term capital loss on sale of shares (STT not paid)	1,00,000



Long-term capital loss on sale of listed shares in recognized stock exchange (STT paid at the time of acquisition and sale of shares)	1,50,000
Income from betting (Gross)	80,000
Loss from gambling	8,000
Interest on saving bank deposits	12,000
Interest on fixed deposits with banks	40,000

Compute the total income of Mr. Ram and show the items eligible for carry forward, assuming that he does not opt for the provisions of section 115BAC.

Solution

Computation of total income of Mr. Ram for the A.Y. 2026-27

Particulars	Amount (₹)	Amount (₹)
Salaries		
Income from Salary	2,00,000	
Less: Loss from house property set-off against salary	1,90,000	
		10,000
PGBP		
Income from speculative business B	1,50,000	
Less: Loss of ₹ 30,000 from speculative business A	30,000	
Less: Loss from cloth business [Loss from non-speculative business can be set off against profits from speculative business]	80,000	
		40,000
Capital Gains		
Long-term capital gain from sale of urban land	3,00,000	
Less: Long-term capital loss on sale of shares (STT not paid)	1,00,000	
Less: Long-term capital loss on sale of listed shares in recognizes stock exchange (STT paid at the time of acquisition and sale of shares)	1,50,000	
		50,000
Income from Other Sources		
Income from betting	80,000	
Interest on savings bank deposits	12,000	
Interest on fixed deposits with banks	40,000	1,32,000
Gross Total Income		2,32,000
Less: Deduction under section 80TTB (Maximum being ₹ 50,000, since Mr. Ram is a senior citizen)		50,000
Total Income		1,82,000

Notes:

- Loss from specified business covered under section 35AD can be set off only against profits and gains of any other specified business. Therefore, such loss cannot be set off against any other income. The unabsorbed loss of ₹ 20,000 has to be carried forward for set-off against profits and gains of any specified business in the following year.



- b) Loss from gambling can neither be set off against any other income, nor can be carried forward

Illustration 14 [RTP Nov 2022]

Mr. Kabir, a resident individual aged 45 years, furnishes the following particulars of his income and other details for the previous year 2025-26:

Particulars	Amount (₹)
Income from tea business	5,00,000
Losses from sugar business	4,00,000
Dividend from Indian company carrying on agricultural operations (gross)	1,00,000
Agricultural income	55,000
Salary received as a partner from a partnership firm. The same was allowed to the firm.	4,50,000
Net annual value of house property	4,20,000
Loss from gambling	1,00,000
Short term capital gains on sale of land	75,000
Loss on sale of shares listed in BSE. Shares were held for 15 months and STT paid on sale and acquisition	3,00,000
Life insurance premium paid (10% of the capital sum assured)	80,000
Bank interest on Fixed deposit (gross)	55,000
Interest on saving bank account	13,000

The other details of brought forward losses pertaining to A.Y. 2025-26 are as follow:

Particulars	Amount (₹)
Brought forward business loss from sugar business	1,00,000
Brought forward short term capital loss	45,000
Brought forward loss from house property	3,00,000
Brought forward loss from maintenance of race horses	60,000

Compute the total income of Mr. Kabir for the Assessment Year 2026-27 and the amount of loss, if any, that can be carried forward, if he does not opt for section 115BAC.

Solution

Computation of total income of Mr. Kabir for A.Y. 2026-27

Particulars	Amount (₹)	Amount (₹)
Income from house property		
Net annual value	4,20,000	
Less: Deduction under section 24 (30% of ₹ 4,20,000)	1,26,000	
Less: Brought forward loss of ₹ 3 lakhs from house property set off to the extent of ₹ 2,94,000	2,94,000	
	2,94,000	-
Profit and gains from business or profession		
Income from tea business (40% is business income)	2,00,000	
Salary received as partner from a partnership firm is taxable under the head "Profits and gains from business or profession"	4,50,000	
	6,50,000	



Less: Losses from sugar business	4,00,000	
	2,50,000	
Less: Brought forward business loss from sugar business	1,00,000	1,50,000
Capital Gains		
Short term capital gains on sale of land	75,000	
Less: Brought forward short term capital loss	45,000	30,000
Income from Other Sources		
Dividend from Indian company	1,00,000	
Agricultural income (exempt)	-	
Bank interest on Fixed deposit	55,000	
Interest on saving bank account	13,000	1,68,000
Gross Total Income		3,48,000
Less: Deduction under section 80C (life insurance premium paid)	80,000	
Less: Interest on saving bank account under section 80TTA, to the extent of	10,000	90,000
Total Income		2,58,000

Losses to be carried forward to A.Y. 2027-28

Particulars	Amount (₹)
Loss from house property of A.Y. 2022-23	6,000
Loss from maintenance of race horses of A.Y. 2022-23	60,000
Long term capital loss on sale of STT paid listed shares	3,00,000

Notes –

- 60% of the income from tea business is treated as agricultural income and therefore, exempt from tax.
- Agricultural income is exempt under section 10(1).
- Loss from gambling can neither be set off against any other income, nor can be carried forward.
- Long term capital loss on sale of shares on which STT is paid at the time of acquisition and sale can be set off against long term capital gain only. Since there is no long term capital gains in A.Y. 2026-27, it has to be carried forward for set-off against long term capital gains, if any, during A.Y. 2027-28.
- As per section 74A(3), loss from maintenance of race horses (current year or brought forward) can be set-off only against income from the activity of owning and maintaining race horses. Since there is no income from the activity of owning and maintaining race horses in A.Y. 2026-27, it has to be set off against the income from the activity of owning and maintaining race horses, if any, in A.Y. 2027-28.

Illustration 15 [RTP May 2022]

Mr. Rajesh, a resident individual, furnished the following information in respect of income and loss earned by him for the F.Y. 2025-26

Particulars	Amount (₹)
Income from Salary	3,40,000



Long term capital loss on sale of shares of Reliance Ltd. STT has been paid both at the time of acquisition and sale	(1,15,000)
Loss from let out property in Delhi	(75,000)
Interest on self-acquired property in Mumbai	(50,000)
Winnings from lottery tickets	40,000
Cost of acquisition of lottery tickets	10,000
Profit and gains from manufacturing business (after deducting normal depreciation of ₹ 10,000 and additional depreciation of ₹ 4,000)	96,000
Long term capital gains on sale of house property	1,40,000

The other details of brought forward losses and unabsorbed depreciation pertaining to A.Y. 2025-26 are as follow:

Brought forward business loss from manufacturing business	(35,000)
Unabsorbed normal depreciation	(10,000)
Brought forward loss from the activity of owning and maintaining the race horses	(50,000)

Compute the Gross total income of Mr. Rajesh for the Assessment Year 2026-27 and the amount of loss, if any, that can be carried forward if he wants to opt for the provisions of section 115BAC for the first time.

Solution

Computation of gross total income of Mr. Rajesh for A.Y. 2026-27

Particulars	Amount (₹)	Amount (₹)
Income from Salary	3,40,000	
Less: Loss under the head "Income from house property" [Loss from house property is not allowed to be set off with any other head of income since Mr. Rajesh is opting for section 115BAC]		3,40,000
Income from house property		
Self-occupied property [Interest u/s 24(b) is not allowed in case of self-occupied property since Mr. Rajesh is opting for section 115BAC]		
Loss from let out property [C/F to A.Y. 2027-28]	(75,000)	
Profit and gains from business or profession		
Profit and gains from manufacturing business	96,000	
Add: Additional depreciation not allowable in case of section 115BAC	4,000	
	1,00,000	
Less: Brought forward loss from manufacturing business	35,000	
Less: Unabsorbed normal depreciation	10,000	55,000
Capital Gains		
Long term capital gains on sale of house property	1,40,000	
Less: long term capital loss on sale of shares on which STT is paid can also be set-off as per section 74(1), since long-term capital gain arising on sale of such shares is taxable under section 112A	(1,15,000)	25,000



Income from Other Sources		
Winnings from lottery tickets		40,000
Gross Total Income		4,60,000

Losses to be carried forward to A.Y. 2027-28

Particulars	Amount (₹)
Loss from let out property in Delhi	75,000
Loss from the activity of owning and maintaining the race horses	50,000

Notes -

- As per section 74A(3), loss from the activity of owning and maintaining the race horses cannot be set-off against income from any source other than the activity of owning and maintaining race horse.
- As per section 58, no expenditure is allowed from the lottery winnings.

Illustration 16 [RTP Nov 2021]

Ms. Aarti, a resident individual, provides the following information of her income/losses for the year ended on 31st March, 2026:

S. No.	Particulars	(₹)
1.	Income from salary (Computed)	8,20,000
2.	Income from house property (let out) (Net Annual Value)	1,20,000
3.	Share of profit from firm in which she is partner	48,000
4.	Loss from specified business covered under section 35AD	67,000
5.	Income from textile business before adjusting the following items:	3,30,000
	a) Current year depreciation	53,000
	b) Unabsorbed depreciation of earlier year	1,85,000
	c) Brought forward loss of textile business of the A.Y. 2023-24	1,90,000
6.	Long-term capital gain on sale of debentures (unlisted)	1,50,000
7.	Long-term capital loss on sale of equity shares (STT not paid)	1,50,000
8.	Long-term capital gain on sale of equity shares listed in recognized stock exchange (STT paid at the time of acquisition and sale)	2,50,000
9.	Dividend from units of UTI	1,15,000
10.	Repayment towards housing loan taken from a scheduled bank. Out of this ₹ 3,28,000 was towards payment of interest and rest towards principal.	4,85,000

Compute the Gross Total Income of Ms. Aarti and ascertain the amount of loss that can be carried forward. Ms. Aarti has always filed her return within the due date specified under section 139(1) of the Income-tax Act, 1961. She does not want to opt for 115BAC.

Solution

Computation of gross total income of Ms. Aarti for the A.Y. 2026-27

Particulars	₹	₹
Salary Income (computed)	8,20,000	
Less: As per section 71(3A), loss from house property of		



₹ 2,44,000 can be set-off, to the extent of		2,00,000	6,20,000
Income from House Property			
Net Annual Value of House Property		1,20,000	
Less: Deduction u/s 24			
(a) 30% of NAV	36,000		
(b) Interest on housing loan	3,28,000	3,64,000	

Loss from house property	(2,44,000)	
Less: Loss eligible for set-off against salary income restricted to	2,00,000	
Loss to be carried forward to A.Y. 2027-28 for set-off against income from house property, if any, in that year.	(44,000)	
Profits and gains of business or profession		
Share of profit from firm [Exempt u/s 10(2A)]	-	
Loss from specified business u/s 35AD ₹ 67,000 [can be set-off only against income from any specified business. Hence, it has to be carried forward to A.Y.2027-28]	-	
Income from textile business	3,30,000	
Less: Current year depreciation	53,000	
	2,77,000	
Less: Brought forward loss of textile business	1,90,000	
Less: Set-off of unabsorbed depreciation to the extent of ₹ 87,000 against business income	87,000	
	87,000	Nil
Capital Gains		
LTCG on sale of listed equity shares (STT paid)	2,50,000	
Less: Balance unabsorbed depreciation of ₹ 98,000 set-off	98,000	
Long-term capital gains on sale of listed equity shares [No tax is payable u/s 112A, since the amount does not exceed ₹ 1,00,000]	1,52,000	1,52,000
Long-term capital gains on sale of debentures	1,50,000	
Less: Set-off of Long-term capital loss on sale of equity shares (STT not paid)	1,50,000	Nil
Income from Other Sources		
Dividend from units of UTI [Taxable in the hands of the unitholders]		1,15,000
Gross Total Income		8,87,000

Losses to be carried forward to A.Y.2027-28		₹
(i)	Losses from specified business [can be carried forward indefinitely for set-off against income from any specified business]	67,000
(ii)	Loss from house property [can be carried forward upto 8 successive assessment years for set-off against income from house property]	44,000

Illustration 17 [RTP May 2021]

Mr. Prakash furnishes the following information for the financial year 2025-26.



Particulars	₹
Loss from speculation business-X	85,000
Profit from speculation business-Y	45,000
Interest on borrowings in respect of self-occupied house property	3,18,000
Income from let out house property	1,20,000
Presumptive Income from trading and manufacturing business under section 44AD	1,00,000
Salary from XYZ (P) Ltd.	5,25,000
Interest on PPF deposit	65,000
Long term capital gain on sale of Vacant site	1,25,000
Short term capital loss on sale of Jewellery	65,000
Investment in tax saver deposit on 31-03-2026	60,000
Brought forward loss of business of assessment year 2020-21	1,00,000
Donation to a charitable trust recognized under section 12AA and approved under section 80G (payment made via credit card)	60,000

Compute total income of Mr. Prakash for the assessment year 2026-27 also show the loss, eligible to be carried forward. Assume that he does not opt for section 115BAC.

Solution

Computation of total income of Mr. Prakash for A.Y. 2026-27

Particulars	₹	₹
Salary from XYZ (P) Ltd.	5,25,000	
Less: Standard Deduction u/s 16(ia)	50,000	
	4,75,000	
Less: Loss from house property of ₹ 20,000 [₹ 80,000 - ₹ 60,000, being the loss set-off against long-term capital gains]	20,000	4,55,000
Income from house property		
Income from let out house property	1,20,000	
Less: Loss from self-occupied house property to the extent of ₹ 2 lakhs, allowable as deduction u/s 24(b) in respect of interest on borrowings	2,00,000	
	(80,000)	
Less: Amount set-off against other heads of income	(80,000)	
Profits and gains from business or profession		
Profit from speculation business Y	45,000	
Less: Loss of ₹ 85,000 from speculation business X set-off against profit from speculation business Y to the extent of such profit	(45,000)	
Presumptive Income from trading and manufacturing business	1,00,000	Nil
Less: Brought forward business loss of A.Y. 2020-21 set-off since the period of eight assessment years has not expired	(1,00,000)	Nil
Capital Gains		



Long term capital gain on sale of vacant site	1,25,000	
Less: Short term capital loss on sale of jewellery	65,000	
Less: Loss from house property to be set-off to the extent of LTCG	60,000	
	60,000	Nil
Income from Other Sources		
Interest on PPF deposit	65,000	
Less: Exempt	65,000	Nil
Gross Total Income		4,55,000
Less: Deduction under Chapter VI-A		
Deduction under section 80C		
Investment in tax saver deposit on 31.3.2025	60,000	
Deduction under section 80G		
Donation to recognized and approved charitable trust [Donation of ₹ 60,000 to be first restricted to ₹ 39,500, being 10% of adjusted total income of ₹ 3,95,000 (₹ 4,55,000 – ₹ 60,000). Thereafter, deduction would be computed at 50% of ₹ 39,500.	19,750	79,750
Total Income		3,75,250

Losses to be carried forward to A.Y. 2027-28	
Particulars	₹
Loss from speculation business X (₹ 85,000 - ₹ 45,000)	40,000
Loss from speculation business can be set-off only against profits of any other speculation business. If loss cannot be so set-off, the same has to be carried forward to the subsequent year for set off against income from speculation business, if any, in that year.	

Illustration 18 [RTP Nov 2020]

Mr. Krishan, residing in Indore, provides the following information for the financial year 2025-26:

Particulars	₹
Income from textile business	4,60,000
Income from speculation business	25,000
Loss from gambling	12,000
Loss on maintenance of race horse	15,000
Current year depreciation of textile business not adjusted in the income given above.	5,000
Unabsorbed depreciation of assessment year 2024-25	10,000
Speculation business loss of assessment year 2025-26	30,000

Compute the Gross Total Income of Mr. Krishan for the Assessment year 2026-27 and also state the losses eligible for carry forward and period upto which such losses can be carried forward.

Solution

Computation of Gross Total Income of Mr. Krishan for A.Y. 2026-27



Particulars	₹	₹
Profits and gains of business or profession		
Income from Textile business	4,60,000	
Less: Current year depreciation allowable under section 32(1)	5,000	
	4,55,000	

Less: Unabsorbed depreciation brought forward from A.Y.2024-25 as per section 32(2)	10,000	4,45,000
Income from speculation business		
Current year income from speculation business	25,000	
Less: Speculation business loss for A.Y. 2025-26 set-off as per the provisions of section 73(2)	30,000	
Speculation business loss to be carried forward	(5,000)	Nil
Gross Total Income		4,45,000

Losses eligible for carry forward to A.Y.2027-28

	Particulars	₹
(1)	Loss from speculation business to be carried forward as per section 73 Loss from speculation business can be set off only against income from another speculation business. The remaining loss from speculation business can be carried forward for a maximum of four assessment years immediately succeeding the assessment year for which the loss was first computed. Thus, such loss can be carried forward upto A.Y.2029-30	5,000
(2)	Loss on maintenance of race horses to be carried forward as per section 74A(3) Loss on maintenance of race horses can be set-off only against income from the activity of owning and maintaining race horses. Such loss can be carried forward for a maximum of four assessment years immediately succeeding the assessment year for which the loss was first computed. Thus, such loss can be carried forward upto A.Y. 2030-31	15,000
(3)	Loss from gambling can neither be set-off nor be carried forward.	

Illustration 19 [PYQ Jan 2025]

Mr. Rakesh furnishes the following details for year ended 31.03.2026:

Particulars	₹
Short Term Capital Gain	2,80,000
Loss from Speculative Business	1,20,000
Long Term Capital Gain on Sale of Land	60,000
Long Term Capital Loss on Sale of shares (STT not paid)	2,00,000
Income From Business of Textile (after allowing current year Depreciation)	1,00,000



Income From Salary (Computed)	2,00,000
Loss from Let - Out House Property	80,000
Share of Loss from Firm	1,60,000
Investment in PPF	21,000
Medical Insurance Premium for self paid by Cheque	24,000
Preventive Health Check-up fees for wife paid by Cheque	5,000

Note: Carry Forward Loss from Business of Textile ₹ 1,20,000 - this being the 8th year from the year of Loss.

Compute Total Income of Mr. Rakesh for the A.Y. 2026-27 if he has exercised the option of shifting out of default tax regime provided under section 115BAC(1A). Also state the eligible Carry Forward losses.

Solution

Computation of Total Income of Mr. Rakesh for the A.Y. 2026-27

	₹	₹
Income from Salary (computed)	2,00,000	
Less: Loss from let-out house property	(80,000)	1,20,000
Profit and gains of business or profession		
Income from textile business	1,00,000	
Less: Loss of ₹ 1,20,000 from textile business set-off to the extent of ₹ 1,00,000	1,00,000	Nil
Share of loss from firm - not allowed to be set-off		Nil
Capital Gain		
Short term capital gain		2,80,000
Long-term capital gain on sale of land	60,000	
Less: Long term capital loss of ₹ 2,00,000 on sale of shares set-off to the extent of ₹ 60,000	60,000	Nil
Balance loss of ₹ 1,40,000 to be CF to A.Y 2027-28		

Gross Total Income		4,00,000
Less: Deduction under Chapter VI-A		
✓ Under section 80C – Investment in PPF	21,000	
✓ Under section 80D – Medical insurance premium for self of ₹ 24,000 and preventive health checkup fees for wife of ₹ 5,000 restricted to	25,000	46,000
Total Income		3,54,000
Losses to be carried forward to A.Y. 2027-28		
Loss from speculative business Loss from speculation business cannot be set-off against any income other than profit and gains of another speculation business. Such loss can, however, be carried forward to A.Y. 2027-28 as per section 73(4) for set-off against income from speculation business of that year.		1,20,000
Long term capital loss on sale of shares Balance loss cannot be set-off against short term capital gain or against any other head of income. The same has to be carried forward for set-off against long-term capital gain of the subsequent assessment year.		1,40,000



Balance brought forward loss of ₹ 20,000 from textile business Such business loss cannot be carried forward since business loss can be carried forward for a maximum of eight assessment years immediately succeeding the assessment year for which the loss was first computed and A.Y. 2026-27, is the eighth year.	
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Illustration 20 [PYQ Sep 2025]

Surbhi, a resident individual aged 35 years, is a working partner in two firms (A and B) engaged in the retail business of garments. She provides the following details of her income/losses for the year ended 31st March 2026:

1. Remuneration received as a partner from partnership firm "A" - ₹ 9.7 lakhs (Deductible while computing the income of the firm).
2. Loss from intra-day trading in shares of Indian companies listed on a recognised stock exchange (no delivery of shares was taken) - ₹ 4 lakhs.
3. Income from the activity of owning and maintaining race horses - ₹ 7 lakhs.
4. Long term capital gains on sale of property (computed as per the provisions of the Income-tax Act, 1961) - ₹ 9.2 lakhs.
5. Interest paid on loan taken for repair of self-occupied house property - ₹ 1.2 lakhs.
6. Amount received as advance towards sale of a shop which was later forfeited as the buyer could not comply with the conditions specified in agreement of sale - ₹ 5 lakhs.
7. Share of loss from partnership firm "B" - ₹ 1.1 lakhs.
8. Loss on betting - ₹ 0.20 lakhs.
9. Interest on fixed deposit (gross) - ₹ 0.80 lakhs. The fixed deposit of ₹ 10 lakhs was gifted to her by her father-in-law on 01.04.2025.

Following are the losses brought forward:

1. Long term capital loss on sale of unlisted shares (pertaining to A.Y. 2025-26) - ₹ 3.8 lakhs.
2. Loss from the activity of owning and maintaining race horse (pertaining to A.Y. 2025-26) - ₹ 25,000.

Compute gross total income of Surbhi for assessment year 2026-27 under appropriate heads of income and the amount of loss that can/cannot be carried forward assuming that she has opted out of default tax regime. Will your answer be different in case she does not opt out from default tax regime. There is no need to compute the tax payable under any of the regimes.

Solution

Computation of GTI of Mrs. Surbhi for the A.Y. 2026-27 as per the optional tax regime

Particulars	₹	₹
Income from HP (Self-occupied Property)		
Annual Value	-	
Less: Deductions under section 24(b)	(30,000)	
Interest on loan for repair of self-occupied property (Restricted to ₹ 30,000)		
	(30,000)	



Profit and gains of business or profession		
Remuneration from partnership firm	9,70,000	
Share of loss from partnership firm [Not allowed for set-off as it is from exempt source]	-	
Less: Set off of loss from House Property	(30,000)	9,40,000
[Alternatively, loss from house property can be set off from advance forfeited.]		
Capital Gain		
Long-term capital gain on sale of property	9,20,000	
Less: Brought forward long-term capital loss on sale of unlisted shares	(3,80,000)	5,40,000
Income from Other Sources		
Income from owning and maintaining race horse	7,00,000	
Less: Brought forward loss of owning and maintaining race horse	(25,000)	
	6,75,000	
Advance forfeited as the buyer could not comply with the conditions of the sale agreement	5,00,000	
FD received from Father-in-Law [Sine Father- in-law falls within the definition of relative, the gift will not be taxable in her hands]	-	11,75,000
As per section 64(1)(vi), interest on fixed deposit (Since fixed deposit was gifted by father-in law, interest on FD will be clubbed in the hands of Father-in-law)	-	
Gross Total Income		26,55,000
Losses to be carried forward to A.Y. 2027-28		
Loss from speculative business Loss from speculation business (intra day trading in shares) cannot be set off against any income other than profit and gains of another speculation business. Such loss can, however, be carried forward to A.Y. 2027-28 for set off against income from speculation business of that year.		4,00,000
Loss on betting Loss from betting cannot be set off or carried forward for future years.		-

**Computation of Gross Total Income of Mrs. Surbhi for the
A.Y. 2026-27 as per the default tax regime**

Particulars	₹	₹
Gross Total Income as per optional tax regime	26,55,000	26,85,000
Add: Loss from House Property [Interest under section 24(b) is not allowable in respect of self-occupied HP while Computing total income as per section 115BAC]	30,000	
Gross Total Income as per default tax regime		

Illustration 21 [RTP May 2026]

CA Jasmeet Singh



Mr. Vipul furnished the following details for the previous year 2025-26:

- a) Loss from House Property (computed) in India – ₹ 2,60,000
- b) Income from business in India – ₹ 8,60,000
- c) Short Term Capital Gain on sale of equity shares listed in recognized stock exchange (STT paid) – ₹ 1,99,800
- d) Income from card game (Gross) – ₹ 1,02,500
- e) Loss from betting (Gross) – ₹ 87,500
- f) Expenses of Lottery Income – ₹ 7,500
- g) Income from Lottery Income – ₹ 38,500 (Net of TDS)
- h) Loss from the activity of owning and maintaining camels for races – ₹ 20,000
- i) Income from the activity of owning and maintaining race horses – ₹ 97,800
- j) Long term capital gain on sale of land – ₹ 25,000
- k) Income of minor daughter Riya from script writing for Television series - ₹ 15,000
- l) Interest income of minor son Saurabh who suffers from disability specified in section 80U - ₹ 2,50,000

Following are the brought forward losses:

- Loss from Textile Business pertaining to A.Y. 2014-15 – ₹ 7,000
- Long-term capital loss pertaining to A.Y. 2017-18 – ₹ 1,12,500
- Short term capital loss pertaining to A.Y. 2018-19 – ₹ 90,200

Compute gross total income of Mr. Vipul as per optional tax regime and find out the amount of losses which can be carried forward.

Solution

Computation of Gross total income of Mr. Vipul for the A.Y. 2026-27

	Particulars	Amount	Amount
(i)	PGBP		
	Income from business in India	8,60,000	
	Less: Set-off of loss from activity of owning and maintaining camel for races	20,000	
		8,40,000	
	Less: Loss from house property of ₹ 2,60,000 can be set-off against any other head of income to the extent of 2,00,000.	2,00,000	
	Less: Unabsorbed loss from textile business pertaining to A.Y. 2014-15 cannot be set-off against the business income of the A.Y. 2026-27, since loss can be carried forward for a maximum of eight assessment years.	Nil	6,40,000
(ii)	Capital Gains		
	Short Term Capital Gain on sale of equity shares listed in a recognized stock exchange (STT paid)	1,99,800	
	Less: Short-term capital loss of A.Y. 2018-19	90,200	1,09,600
	Long term capital Gain on Sale of land	25,000	
	Less: Long-term capital loss pertaining to A.Y. 2017-18 cannot be set-off against LTCG of the A.Y. 2026-27, since such loss can be carried	-	25,000



(iii)	forward for a maximum of eight assessment years.		
	Income from other sources		
	Income from card game	1,02,500	
	Income from Lottery [Expenses of Lottery income are not allowed as a deduction] [₹38,500/(100-30)]	55,000	
	Income from the activity of owning and maintaining race horses	97,800	
	Income of ₹ 15,000 of minor daughter Riya from script writing for television serials [Income derived by a minor child from any activity involving application of his/her skill, talent, specialized knowledge and experience is not to be included in the hands of the parent]	-	
	Income of ₹ 2,50,000 of minor son Saurabh who suffers from disability specified in section 80U [Since minor child Saurabh is suffering from disability specified under section 80U, hence, his income would not be included in the income of the parent but would be taxable in the hands of the minor child]	-	2,55,300
Gross Total Income			10,29,900

Item eligible for carried forward to A.Y. 2026-27

Particulars	Amount (₹)
Current year loss from House property	60,000
Loss from betting can neither be set off against any other income, nor can it be carried forward.	-

Illustration 22 [RTP May 2025]

Mr. Akshay, a resident individual, provides the following details of his income/losses for the year ended 31.03.2026:

	Particulars	Amount
(i)	Income from salary (computed)	35,20,000
(ii)	Rent received from house property situated in Delhi	5,00,000
(iii)	Repayment of loan taken for purchase of above property. Loan was taken from a friend. This repayment includes payment of interest of ₹ 7,00,000	15,25,000
(iv)	Rent received from house property situated in Jaipur	3,20,000
(v)	Interest on loan taken for repair of house properties situated in Mumbai and Delhi. The property in Mumbai is self-occupied. Loan was taken on 01.04.17 and was utilized in 50:50 ratio for house properties situated in Mumbai and Delhi, respectively.	1,50,000
(vi)	Long-term capital gains on sale of equity shares on which STT has been paid	7,95,000



(vii)	Interest on fixed deposit	73,000
(viii)	Loss from textile business	7,50,000
(ix)	Speculation business profit	2,30,000
(x)	Lottery income (Gross)	75,000
(xi)	Loss incurred by the firm in which he is a partner	1,60,000
(xii)	Salary received as a partner from partnership firm. The same was allowed to firm	50,000
(xiii)	Life insurance premium paid for his son who is 30 years of age and is working in USA	15,000

He has the following brought forward losses of A.Y. 2025-26

Brought forward short-term capital loss on sale of gold	2,75,000
Brought forward loss on sale of equity shares u/s 111A	25,000

Compute total income of Mr. Akshay for the assessment year 2026-27 and the amount of loss that can be carried forward. Mr. Akshay has opted out of the default tax regime.

Solution

Computation of total income of Mr. Akshay for the A.Y.2026-27

Particulars	₹	₹	₹
Income from salary (computed)			35,20,000
Income from house property			
(i) House property at Delhi (Let out)			
Rent received (taken as Annual Value in the absence of information relating to Fair Rent and Municipal Value)	5,00,000		
Less: Deduction u/s 24			
(a) 30% of NAV	1,50,000		
(b) Interest on loan			
For purchase of property	7,00,000		
For repairs of property [₹ 1,50,000/2]	75,000	9,25,000	(4,25,000)
(ii) House property at Jaipur (Let out)			
Rent received (taken as Annual Value in the absence of information relating to Fair Rent and Municipal Value)	3,20,000		
Less: Deduction u/s 24			
30% of NAV	96,000	2,24,000	
(iii) House property at Mumbai (SO)			
Annual Value of self-occupied property	Nil		
Less: Deduction u/s 24(b)			
Interest on loan for repairs (to be restricted to ₹ 30,000)	30,000	(30,000)	
Loss from house property		(2,31,000)	



As per section 71(3A), loss from house property to be set-off against salary income to the extent of			(2,00,000)
PGBP			33,20,000
Speculation business profit		2,30,000	
Salary received as partner of firm is taxable in his hands since the entire salary was allowed as deduction in the hands of the firm		50,000	
		2,80,000	
Less: Set-off of loss from textile business to the extent of		(2,80,000)	Nil
Share of loss incurred by the firm in which he is partner cannot be set-off against salary received as partner of firm or any other income, since loss from an exempt source cannot be set-off against profit from a taxable source.			Nil
Capital Gains			
Long-term capital gains on sale of equity shares on which STT is paid		7,95,000	
Less: Set-off of brought forward short-term capital loss			
Brought forward short-term capital loss on sale of gold	2,75,000		
Brought forward short-term capital loss u/s 111A	25,000	3,00,000	
		4,95,000	
Less: Set-off of balance loss of textile business [₹ 7,50,000 – ₹ 2,80,000 – ₹ 73,000]		(3,97,000)	98,000
Income from Other Sources			
Interest on fixed deposit		73,000	
Less: Set off of loss of textile business against this income would be more beneficial than against LTCG, since it is taxable @30%		(73,000)	Nil
Lottery income		75,000	75,000
Gross Total Income			34,93,000
Less: Deduction under Chapter VI-A			
Under section 80C			
Life insurance premium paid			
Life insurance premium paid to insure the life of her son allowable as deduction even if he is major, resides abroad and is not dependent on her		15,000	
Repayment of housing loan			



₹ 8,25,000 for house property in Delhi, not allowable since loan is taken from a friend	Nil	15,000
Total Income		34,78,000

Loss to be carried forward to A.Y.2027-28:

Loss from house property (₹ 2,31,000 - ₹ 2,00,000) = ₹31,000

Illustration 23 [PYQ Jan 2026]

Mr. Kunal, a resident individual, furnishes the following information of his income and losses for the assessment year 2026-27:

Particulars	Amount ₹
Gross salary received from part time employment in a company	12 lakh
Rent received from a let-out residential house property	8 lakh
Interest payment on loan taken for purchase of above house	2.5 lakh
Profit from a food delivery startup business	5 lakh
Profit from the business of production of fertilizers established in August, 2025 in India	6 lakh
On 01.04.2025, Kunal transferred ₹ 10 lakh to a charitable trust with a direction that the trust will pay ₹ 2,40,000 to Mrs. Sunita (Kunal's wife) annually. Mr. Kunal can take back the full amount as per his wish.	

Losses brought forward from the earlier years: -

1. Loss from self-occupied property - ₹ 1.5 lakh for the previous year 2022-23.
2. Business losses from specified business covered under section 35AD - ₹ 10 lakh of financial year 2016-17.

You are required to compute the gross total income under proper heads of income of Mr. Kunal on the assumption that he has opted for default tax regime for the assessment year 2026-27 and the amount of losses to be carried forward and the period upto which they are carried forward.

Solution

Computation of Gross Total Income of Mr. Kunal for the A.Y. 2026-27 as per the default tax regime under the Income-tax Act, 1961

Particulars	₹	₹
Income under the head "Salaries"		
Gross Salary	12,00,000	
Less: Standard Deduction	75,000	
Net Salary		11,25,000
Income from House Property (Let-out Property)		
Annual Value [Rent received]	8,00,000	
Less: Deductions under section 24		
- Standard deduction@30%	2,40,000	
- Interest on loan of ₹ 2,50,000 allowed as deduction	2,50,000	3,10,000



Carry forward and set off of loss from self-occupied house property is not allowed as deduction as per default tax regime under section 115BAC.		
Profit and gains of business or profession		
Profit from a food delivery start up business		5,00,000
Profit from business of production of fertilizers	6,00,000	
Less: Brought forward losses from specified business is allowed to be set-off against the profits from a specified business only. Thus, losses to the extent of ₹ 6,00,000 is allowed assuming that such loss is not on account of deduction under section 35AD. [Note - If it is assumed that loss from specified business is on account of deduction under section 35AD, the loss is not allowed to be set off as per default tax regime under section 115BAC. In such case, gross total income would be ₹ 27,75,000]	6,00,000	-
Income from Other Sources		
Income arising from the transfer of ₹ 10 lakhs to the charitable trust will be included in the hands of Mr. Kunal, since Mr. Kunal can take back the full amount as per his wish and thus, it is a revocable transfer		
Gross Total Income		21,75,000

Losses to be carried forward to A.Y. 2027-28

Particulars	₹
Loss from self-occupied property Loss from self-occupied property of P.Y. 2022-23 shall be deemed to have been given full effect and no further deduction of such loss would be allowed for any subsequent year.	
Business Loss from specified business u/s 35AD Balance loss from specified business u/s 35AD of F.Y. 2016-17 can be carried forward for indefinite period, assuming the same is not on account of deduction u/s 35AD. Note – If it is assumed that loss from specified business of F.Y. 2016-17 is on account of deduction under section 35AD, then such loss shall be deemed to have been given full effect and no further deduction of such loss would be allowed for any subsequent year.	4,00,000

